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Quarterly Report for Deer Velvet in Korea
Deer Industry New Zealand

May 2011

1 Imports

1.1 VELVET IMPORTS

An analysis of the import statistics for deer velvet from January to March 2011 shows the following:

1.1.1 Young Antlers, Total – Quarterly Comparison

(Includes HS No. 0507.90.1110 Whole, plus HS No. 0507.90.1190 Other)

COUNTRY OF ORIGIN	JAN 10 – MAR 10		JAN 11 – MAR 11		INCREASE	M/S
	VALUE (USD)	VOLUME (KG)	VALUE (USD)	VOLUME (KG)	VALUE (%)	VALUE (%)
New Zealand	3,587,483	51,088	2,822,544	47,788	-21.32%	47.46%
Russia	1,473,046	10,933	1,795,220	11,444	21.87%	30.19%
PR China	1,335,546	12,445	1,218,289	10,453	-8.78%	20.49%
Kazakhstan	105,720	881	102,240	852	-3.29%	1.72%
Australia	80,552	2,004	8,055	n/a	-90%	0.14%
Total	6,582,347	77,351	5,946,348	70,537	-9.66%	100.00%
NZ Share	54.50%	66.04%	47.46%	67.74%	-7.04%	-

Source: Korea Customs Service

New Zealand's market share has declined 7.04% percent from 54.50 percent to 47.46 percent. The value of New Zealand deer velvet export to Korea has been decreased by USD 764,939 from the first quarter of 2010, which is 21.32 percent decline compared to the previous year.

1.1.2 Young Antlers, Total – Yearly Comparison

(Includes HS No. 0507.90.1110 Whole, plus HS No. 0507.90.1190 Other)

COUNTRY OF ORIGIN	APR 09 – MAR 10		APR 10 – MAR 11		INCREASE	M/S
	VALUE (USD)	VOLUME (KG)	VALUE (USD)	VOLUME (KG)	VALUE (%)	VALUE (%)
New Zealand	10,172,100	178,061	10,105,704	155,583	-0.65%	46.55%
Russia	8,035,455	57,319	7,603,509	49,352	-5.37%	35.02%
China	3,935,807	38,268	3,693,360	32,522	-6.16%	17.01%
Kazakhstan	129,720	1,081	268,440	2,364	106.93%	1.24%
Australia	174,898	4,262	39,592	21	-77.36%	0.18%
Other	109	-	70	-	-35.78%	-
Total	22,448,089	278,991	21,710,675	239,842	-3.28%	100%
NZ Share	45.31%	63.82%	46.55%	64.87%	1.23%	-

Source: Korea Customs Service

The table shows a decrease in value and volume of New Zealand's deer velvet export to Korea compared to the previous year, however, New Zealand's market share has climbed by 1.23 percentage points from 45.31 percent to 46.55 percent.

1.2 QUARANTINE STATISTICS OF DEER VELVET

These include hand-carried velvet by tourists. The countries are not country of origin but export.

COUNTRY OF EXPORT	JAN 11 – MAR 11		JAN 10 – MAR 10	
	DRIED VELVET (KG)	RAW VELVET (KG)	DRIED VELVET (KG)	RAW VELVET (KG)
New Zealand	8,915.8	35,217.2	7,838.4	33,668.3
China	13,096.3	6.8	18,861.9	5.0
Russia	6,790.8	0	3,274.1	0
Hong Kong	1,256.9	0	9,866.9	0
Kazakhstan	852.0	0	1,155.0	0
Australia	21.2	0	23.3	2,002.0
USA	7.1	5.5	20.1	2.9
Others	1,028	0	11.9	3.3
Total	31,968.1	35,229.5	41,051.6	35,681.5

Source: National Veterinary Research & Quarantine Service

2 Local Deer Industry

2.1 KOREAN LOCAL DEER FARMS OPERATING COST TWENTY TIMES HIGHER THAN NEW ZEALAND

The Korean local deer farms' operating cost showed much higher than the amount spent in the deer industries of New Zealand, which was released in an official document Korea Deer Breeders Association (KDBA) submitted to the Ministry of Food, Agriculture, Forestry and Fisheries. According to the document, annual operating cost for Formosan deer and elk is KW 728,707 on average in Korea, which is more than 20 times higher than that of New Zealand showing KW 38,877 in South Island and KW 45,057 in North Island.

As the table shows below, the operating cost was mostly spent for feeding deer in Korea. In particular, the feed for elk and Formosan deer occupied 66.8% and 71.5% respectively out of the total operating cost, while New Zealand spent approximately 42% of the total spending for feeding.

Table 1) *Operating Cost comparison between Korea and New Zealand*

	Korea		New Zealand			
			South Island		North Island	
	Amount (Won)	%	Amount (Won)	%	Amount (Won)	%
Wage	108,855	14.9	1,355	3.5	2,345	5.2
Feed	475,048	65.2	15,609	40.1	19,840	44.0
Other Cost	145,492	20.0	21,913	56.4	22,872	50.8
Operating Cost	728,707	100.0	38,877	100.0	45,057	100.0

Source: *Monthly Focus, Yangrok, December edition, 2010*

2.2 NUMBER OF LOCAL DEER AND DEER FARMS ANNUALLY DECREASED

The number of local deer and deer farms has been dramatically decreased year by year. From 2002 to 2005, the number of deer farms has diminished by 800 on average per year, however, the number dropped sharply below 10,000 in 2005 and lowered to 6,095 in 2006. As of December 2009, the total number of deer farms was recorded at 5,996, which is the lowest level since 2001. The trend of decline is partly attributed to the slowed demand on the velvet products as well as the increase operating cost including feed, wage, and management fee.

Table 2) *Number of Deer and Deer Farms in Korea*

Number	2001	2002	2003	2004	2005	2006	2007	2008	2009
Deer	156,076	153,438	144,926	138,302	125,653	110,158	97,856	78,853	75,272
Farms	12,564	12,337	11,501	10,874	9,892	8,849	7,937	6,095	5,996

Source: Ministry of Food, Agriculture, Forestry and Fisheries

2.3 KANG REAPPOINTED AS CHAIRMAN OF KOREA DEER BREEDERS ASSOCIATION

Mr Jun-Soo Kang was reappointed as the chairman of Korea Deer Breeders Association in February 2011. He was a sole candidate who ran for the chairmanship and gathered support from the board of directors to be re-elected. Mr Kang took office in February and he will serve as the chairman for the next two years to come.

Source: The Korea Deer Time March, 2011

2.4 LIVESTOCK BUSINESS PERMIT SYSTEM TO BE ADOPTED FROM 2012

The Ministry of Food, Agriculture, Forestry, and Fisheries announced that the Government will adopt Permit (license) System for the livestock business in an effort to make systematic improvement in the sector. The plan has come after the severe experience of Foot-and-Mouth disease hit hard across the nation. In preparation for the Permit System, the Government will execute registration system into the livestock industries from late May 2011. Under the system, every livestock farms have an obligation to register their business and the Government will phase in Permit System from the large-scale farms in 2012.

Source: The Livestock Times, 29th March 2011.

3 Wholesale & Retail Price of Imported Deer Velvet (as of March 2011)

The price of New Zealand deer velvet has been increased more than 30 percent since the autumn of 2009. The wholesale price of NZ velvet which used to be around KW180,000 in early 2009 climbed to reach KW250,000 in April 2010, and it still maintains the price up until early 2011. Local importers indicated that large number of deer was slaughtered in New Zealand, which was reflected in the price with the reduced velvet production. "The recent increase in demand on the New Zealand velvet from China drove the price to go up," said importers. They also added that the unified import channel from New Zealand would be another factor in a velvet price rise.

According to importers, velvet market of Korea has been relatively stable for the first quarter of 2011 with sales slightly declined. However, the persons interested in the deer industries say that the market price of deer will be expected to climb when trading season comes in April as a result of tuberculosis spread out on deer last year and the Foot-and-Mouth disease hit hard early this year.

(Unit: Korean Won / keun = 600g)

ORIGIN	IMPORT COST	WHOLESALE PRICE	RETAIL PRICE
New Zealand	KRW230,000 – 240,000 (\$267 – 279)	KRW250,000 (\$290)	Bungol (tip): KRW450,000 – 460,000 (\$523 – 534) Sangdae (upper part): KRW350,000 – 360,000 (\$406 – 418) Jungdae (middle part): KRW250,000 – 260,000 (\$290 – 302)
China	KRW210,000 - 220,000 (\$244 – 255)	KRW240,000 – 250,000 (\$279 – 290)	Bungol: KRW500,000 – 510,000 (\$581 – 593) Sangdae: KRW400,000 – 430,000 (\$465 – 500) Jungdae: KRW200,000 – 210,000 (\$232 – 244)
Russia	KRW270,000 - 280,000 (\$313 – 325)	KRW310,000 - 320,000 (\$360 – 372)	Bungol: KRW600,000 – 700,000 (\$697 – 813) Sangdae: KRW400,000 – 450,000 (\$465 – 523) Jungdae: KRW200,000 – 220,000 (\$232 – 255)

Notes:

1. NZD 1 = Approx. KRW 860
2. Source: Deer velvet importers
3. The “wholesale price” is the price for whole sticks paid by wholesalers/slicing companies to importers and the “retail price” is the price of sliced velvet paid by oriental medicine clinics to wholesalers. The minimum sales quantity is 1 keun (16 nyang x 37.5 grams = 600 grams).

3.1 RETAIL PRICES OF NEW ZEALAND VELVET TO INDIVIDUAL CONSUMERS

Packaging: 2 nyang (75g) retail pack

Bungol (tip): KRW70,000 – 100,000 (\$81 – 116)

Sangdae (upper part): KRW60,000 – 70,000 (\$70 – 81)

Jungdae (middle part): KRW50, 000 – 60,000 (\$58 – 70)

Source: A retail shop in Kyung Dong Oriental Herb Market.

4 Velvet Market Movements & Major Developments

4.1 FOOT & MOUTH DISEASE LED TO THE CULLING OF 3,243 DEER IN KOREA

As of 28th March 2011, the number of deer which has been culled through wide spread of the Foot-and-Mouth disease was totalled to 3,243. According to National Veterinary Research & Quarantine Service, the number of deer destroyed since the outbreak of the Foot-and-Mouth disease reached 3,243 from 156 deer farms and Gyeonggi Province was the most severely affected by FMD culling 2,369 deer out of 82 farms.

Source: The Korea Deer Weekly, April 2011

4.2 NATIONAL VETERINARY RESEARCH AND QUARANTINE SERVICE PROVIDED TRAINING TO PREVENT TUBERCULOSIS

National Veterinary Research & Quarantine Service provided a training session to deer farmers and interested industries on 12 April 2011 to prevent local deer from getting tuberculosis. A tuberculosis expert from NVRQS explained the current status of tuberculosis outbreak on the local deer and a diagnostic assessment and test method. NVRQS committed to listening to the voices of deer industries and providing training opportunities on a regular basis to prevent the spread of tuberculosis on the local deer.

Source: National Veterinary Research & Quarantine Service, 14 April 2011

4.3 ‘DEER DAY’ EVENT SUCCESSFULLY PROMOTED LOCAL DEER VELVET

Deer Day event was held on 3rd of April, 2011 at Myoung-dong in Seoul. The event was designed to raise awareness of domestic deer products to the ordinary public and served some food products made from deer velvet and venison so that people can taste on the street. Mr Jun-Soo Kang, the Chairman of Korea Deer Breeders Association said “Local deer farmers have difficulties in sustaining their business as the market is encroached by low quality deer velvet imported from overseas” and he appealed to the public to buy more local deer velvet.

Source: The Korea Deer Weekly, April 2011

4.4 DOMESTIC VELVET PROVED TO BETTER PERFORM IN HEALING WOUNDS THAN IMPORTED VELVET

Korea Deer Breeders Association released a research outcomes report in April 2011 which was conducted to analyse active ingredient and efficacy of deer velvet. The report showed that domestic velvet extract has better performed in healing wounds than the imported ones. The Korean velvet extract showed 61.3% in healing properties followed by Chinese 56.6%, New Zealand's 52.0%, and Russian's 44.9%. Professor Chang-Geun Sung who involved in the research said “Domestic velvet contains more proteinic band and molecular protein, which is the reason why the experiment showed such a result.”

Source: The Korea Deer Time, March 2011

4.5 VELVET SALES BOOSTED BY CONCERN ON RADIATION FROM JAPAN

With the recent breakdown of Fukushima nuclear power plant in Japan, foods having immune-boosting effect are getting popular among people who are concerned about the radiation leaked from Japan. Among those products, velvet products are gathering more attention in particular. Velvet-contained products showed a rapid increase in sales, which climbed 70 – 180 percent in March compared to the previous month.

Source: 28th March 2011, Jungang Daily

4.6 GOVERNMENT COMPENSATION DOWN TO 60 PERCENT OF DEER VALUE IF CULLED TO PREVENT TUBERCULOSIS SPREAD OUT

The Korean government announced the revised bill on the Compensation Standard to prevent Livestock Epidemic on 29th December 2010. According to the revision, the compensation for culled deer to prevent tuberculosis epidemic will be paid up to 60 percent of value of the deer slaughtered. Ministry of Food, Agriculture, Forestry and Fisheries notified that the level of compensation will be decided by reviewing the responsibilities each deer farms should take to comply with the government decree when their deer got tuberculosis.

Source: The Korea Deer Weekly, March 2011

4.7 JEONNAM PROVINCE ESTABLISHES DEER DISTRIBUTION COMPANY

A Deer Distribution Company is expected to be established in Jeonnam Province. The Jeonnam Provincial Government supported 600 Million won out of 2.5 Billion won, the total project fund to proceed with the establishment. A public seminar will be arranged on 27th April to encourage local deer industries to join. Once the distribution company is established, deer farms in the region will be able to co-produce velvet products under certain brands which will pave the way for raising awareness of the deer product brands in the market.

Source: The Korea Deer Weekly, 20 April 2011

4.8 VELVET SOYBEAN PASTE DEVELOPED TO WIDEN VELVET MARKET

A soybean paste (brand name called “*Nokyong Doenjang*”) mixed with deer velvet has launched in the market. The soybean paste needs to go through fermentation for a year when using 100% raw velvet, and for 6 months in the case of using 50% of raw velvet and 50% of dried velvet. The retail price is ranged from 60,000 won to 120,000 won.

Source: The Korea Deer Weekly, 20 April 2011

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